

**SUBSTITUTE FOR
HOUSE BILL NO. 5711**

A bill to amend 2008 PA 295, entitled
"Clean and renewable energy and energy waste reduction act,"
by amending the title and sections 1, 3, 5, 7, 9, 11, 13, 61, 101,
173, and 191 (MCL 460.1001, 460.1003, 460.1005, 460.1007, 460.1009,
460.1011, 460.1013, 460.1061, 460.1101, 460.1173, and 460.1191),
the title and sections 1, 3, 5, 7, 9, 11, 13, 173, and 191 as
amended and section 101 as added by 2023 PA 235 and section 61 as
added by 2016 PA 342; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

TITLE

An act ~~to require certain providers of electric service to~~
~~establish and recover costs for renewable energy and clean energy~~
~~programs; to require certain providers of electric or natural gas~~



~~service to establish, and recover costs for, energy waste reduction programs; to ensure that any energy cost savings from renewable energy, clean energy, and energy waste reduction programs are ultimately returned to customers; to authorize the use of certain energy systems to meet the requirements of those programs; to provide for the approval of energy waste reduction service companies; to reduce energy waste by state agencies and the public;~~
to create a wind energy resource zone board and provide for its power and duties; to authorize the creation and implementation of wind energy resource zones; to provide for expedited transmission line siting certificates; to provide for customer generation and net metering programs and the responsibilities of certain providers of electric service and customers with respect to customer generation and net metering; to provide for fees; to prescribe the powers and duties of certain state agencies and officials; to require the promulgation of rules and the issuance of orders; to authorize the establishment of residential energy improvement programs by providers of electric or natural gas service; to authorize certification by this state before the construction of certain wind and solar energy facilities and energy storage facilities; to regulate certain local ordinances; and to provide for civil sanctions, remedies, and penalties.

Sec. 1. (1) This act may be cited as the "clean and renewable energy and energy waste reduction act".

(2) The purpose of this act is to ~~promote the development and use of clean and renewable energy resources and the reduction of energy waste through programs that will cost-effectively do all of~~ the following:

(a) Diversify the resources used to reliably meet the energy



1 needs of consumers in this state.

2 (b) Provide greater energy security through the use of
3 indigenous energy resources available within this state.

4 (c) Encourage private investment in renewable energy. ~~and~~
5 ~~energy waste reduction.~~

6 (d) Coordinate with federal regulations to provide improved
7 air quality and other benefits to energy consumers and citizens of
8 this state.

9 (e) Provide more reliable and resilient energy supplies during
10 periods of extreme weather.

11 (3) ~~Pursuant to~~ **In accordance with** the reconciliation
12 processes provided for in this act, the commission shall determine
13 the costs and savings resulting from compliance with the **former**
14 renewable energy ~~program~~ **and the former** clean energy ~~and energy~~
15 ~~waste reduction programs~~ **program** required under this act and
16 include those costs and savings in the determination of the rates
17 charged to customers of the electric and natural gas providers.
18 This section does not prohibit the commission from authorizing
19 shared savings or incentive programs as provided for in this act.

20 Sec. 3. As used in this act:

21 (a) "Applicable regional transmission organization" means a
22 nonprofit, member-based organization governed by an independent
23 board of directors that serves as the regional transmission
24 organization approved by the Federal Energy Regulatory Commission
25 with oversight responsibility for the region that includes the
26 provider's service territory.

27 (b) "Biomass" means any organic matter that is not derived
28 from fossil fuels, that can be converted to usable fuel for the
29 production of energy, and that replenishes over a human, not a



1 geological, time frame, including, but not limited to, all of the
2 following:

3 (i) Agricultural crops and crop wastes.

4 (ii) Short-rotation energy crops.

5 (iii) Herbaceous plants.

6 (iv) Trees and wood, but only if derived from sustainably
7 managed forests or procurement systems, as defined in section 261c
8 of the management and budget act, 1984 PA 431, MCL 18.1261c.

9 (v) Paper and pulp products.

10 (vi) Precommercial wood thinning waste, brush, or yard waste.

11 (vii) Wood wastes and residues from the processing of wood
12 products or paper.

13 (viii) Animal wastes.

14 (ix) Wastewater sludge or sewage.

15 (x) Aquatic plants.

16 (xi) Food production and processing waste.

17 (xii) Organic by-products from the production of biofuels.

18 (c) "Board" means the wind energy resource zone board created
19 under section 143.

20 ~~(d) "Carbon capture and storage" means a process that involves~~
21 ~~collecting carbon dioxide at its source and storing, or~~
22 ~~sequestering, it to prevent its release into the atmosphere.~~

23 ~~(e) "Clean energy" means electricity or steam generated using~~
24 ~~a clean energy system.~~

25 ~~(f) "Clean energy plan" means an electric provider's plan to~~
26 ~~meet the clean energy standard approved under section 51.~~

27 ~~(g) "Clean energy portfolio" means the percentage of an~~
28 ~~electric provider's total retail electric sales consisting of clean~~
29 ~~energy or renewable energy.~~



~~(h) "Clean energy standard" means the clean energy portfolio required under section 51(1).~~

~~(i) "Clean energy system" means an electricity generation facility or system or set of electricity generation systems that meets any of the following requirements:~~

~~(i) Generates electricity or steam without emitting greenhouse gas, including nuclear generation.~~

~~(ii) Is fueled by natural gas and uses carbon capture and storage that is at least 90% effective in capturing and permanently storing carbon dioxide. If the department of environment, Great Lakes, and energy determines, through a facility-specific major source permitting analysis consistent with applicable United States Environmental Protection Agency rules, that a capture rate higher than 90% meets the best available control technology standard, as applicable, that higher percentage shall be used instead of 90% for facilities permitted after the effective date of the amendatory act that added section 51. Using carbon dioxide for enhanced oil recovery is not considered to be permanent storage for the purposes of this subparagraph.~~

~~(iii) Is an independently owned combined cycle power plant fueled by natural gas that has a power purchase agreement with an electric provider as of the effective date of the amendatory act that added this subparagraph and that by 2030 receives approval from the commission for a plan that achieves functional equivalence with the clean energy standard in section 51(1)(b) through reduction of greenhouse gas emissions using carbon capture and sequestration and other available applications, including, but not limited to, carbon removal technologies. In reviewing and approving a plan submitted under this subparagraph, the commission shall~~



~~consider best available technology and applications as well as rate affordability, resource adequacy, and grid reliability.~~

~~(iv) Is defined as a clean energy system in rules adopted by the commission consistent with the purposes of this subdivision.~~

(d) ~~(j)~~ "Commission" means the Michigan public service commission.

~~(k) "Customer meter" means an electric meter of a provider's retail customer. Customer meter does not include a municipal water pumping meter or additional meters at a single site that were installed specifically to support interruptible air conditioning, interruptible water heating, net metering, or time-of-day tariffs.~~

(e) ~~(l)~~ "Distributed generation" means the generation of electricity under the distributed generation program.

(f) ~~(m)~~ "Distributed generation program" means the program established by the commission under section 173.

Sec. 5. As used in this act:

~~(a) "Efficient electrification measure" means an electric appliance or equipment installed in an existing building to electrify, in whole or in part, space heating, water heating, cooling, drying, cooking, industrial processes, or another building or industrial end use that would otherwise be served by combustion of fossil fuel on the premises and that meets best-practice standards for cost-effective energy efficiency as determined by the commission. Efficient electrification measure includes, but is not limited to, any of the following:~~

~~(i) A cold climate air source heat pump.~~

~~(ii) An electric clothes dryer.~~

~~(iii) A ground source heat pump.~~

~~(iv) High-efficiency electric cooking equipment.~~



~~(v) A heat pump or high efficiency electric water heater.~~

~~(b) "Efficient electrification measures plan" means a plan to offer and promote efficient electrification measures.~~

~~(c) "Efficient electrification measures program" means a program to implement an efficient electrification measures plan.~~

(a) ~~(d)~~ "Electric provider" means any of the following:

(i) Any person or entity that is regulated by the commission for the purpose of selling electricity to retail customers in this state.

(ii) A municipally owned electric utility in this state.

(iii) A cooperative electric utility in this state.

(iv) ~~Except as used in subpart C of part 2, an~~ **An** alternative electric supplier licensed under section 10a of 1939 PA 3, MCL 460.10a.

(b) ~~(e)~~ "Eligible electric generator" means a methane digester or renewable energy system with a generation capacity limited to 110% of the customer's electricity consumption for the previous 12 months.

~~(f) "Energy conservation" means the reduction of customer energy use through the installation of measures or changes in energy usage behavior.~~

(c) ~~(g)~~ "Energy efficiency" means a decrease in customer consumption of electricity or natural gas achieved through measures or programs that target customer behavior, equipment, devices, or materials without reducing the quality of energy services.

~~(h) "Energy star" means the voluntary partnership among the United States Department of Energy, the United States Environmental Protection Agency, product manufacturers, local utilities, and retailers to help promote energy efficient products by labeling~~



~~with the energy star logo, educate consumers about the benefits of energy efficiency, and help promote energy efficiency in buildings by benchmarking and rating energy performance.~~

(d) ~~(i)~~ "Energy storage system" means any technology that is capable of absorbing energy, storing the energy for a period of time, and redelivering the energy. Energy storage system does not include either of the following:

~~(i) Fossil fuel storage.~~

~~(ii) Power-to-gas storage that directly uses fossil fuel inputs.~~

~~(j) "Energy waste reduction", subject to subdivision (k), means all of the following:~~

~~(i) Energy efficiency.~~

~~(ii) Load management, to the extent that the load management reduces provider costs.~~

~~(iii) Energy conservation, but only to the extent that the decreases in the consumption of electricity produced by energy conservation are objectively measurable and attributable to an energy waste reduction plan.~~

~~(k) Energy waste reduction does not include electric provider infrastructure projects that are approved for cost recovery by the commission other than as provided in this act.~~

~~(l) "Energy waste reduction credit" means a credit certified pursuant to section 87 that represents achieved energy waste reduction.~~

~~(m) "Energy waste reduction plan" means a plan under section 71.~~

~~(n) "Energy waste reduction standard" means the minimum energy savings required to be achieved under section 77.~~



(e) ~~(e)~~ "Federal approval" means approval by the applicable regional transmission organization or other Federal Energy Regulatory Commission-approved transmission planning process of a transmission project that includes the transmission line. Federal approval may be evidenced in any of the following manners:

(i) The proposed transmission line is part of a transmission project included in the applicable regional transmission organization's board-approved transmission expansion plan.

(ii) The applicable regional transmission organization has informed the electric utility, affiliated transmission company, or independent transmission company that a transmission project submitted for an out-of-cycle project review has been approved by the applicable regional transmission organization, and the approved transmission project includes the proposed transmission line.

(iii) If, after October 6, 2008, the applicable regional transmission organization utilizes another approval process for transmission projects proposed by an electric utility, affiliated transmission company, or independent transmission company, the proposed transmission line is included in a transmission project approved by the applicable regional transmission organization through the approval process developed after October 6, 2008.

(iv) Any other Federal Energy Regulatory Commission-approved transmission planning process for a transmission project.

Sec. 7. As used in this act:

~~(a) "Greenhouse gas" means carbon dioxide, methane, nitrous oxide, hydrofluorocarbons, perfluorocarbons, or sulfur hexafluoride.~~

(a) ~~(b)~~ "Grid reliability" means the ability, as defined by the regional transmission organization, of the bulk power system to



1 withstand sudden, unexpected disturbances, such as short circuits
2 or unanticipated loss of system elements because of natural causes.

3 ~~(c) "Incremental costs of compliance" means the net revenue~~
4 ~~required by an electric provider to comply with the renewable~~
5 ~~energy standard, calculated as provided under section 47.~~

6 **(b)** ~~(d)~~ "Independent transmission company" means that term as
7 defined in section 2 of the electric transmission line
8 certification act, 1995 PA 30, MCL 460.562.

9 ~~(e) "LEED" means the leadership in energy and environmental~~
10 ~~design green building rating system developed by the United States~~
11 ~~Green Building Council.~~

12 ~~(f) "Load management" means measures or programs that target~~
13 ~~equipment or behavior to result in decreased peak electricity~~
14 ~~demand such as by shifting demand from a peak to an off-peak~~
15 ~~period.~~

16 ~~(g) "Long-duration energy storage system" means an energy~~
17 ~~storage system capable of continuously discharging electricity at~~
18 ~~its full rated capacity for more than 10 hours.~~

19 ~~(h) "Low-income residential customer" means a customer that~~
20 ~~meets any of the following requirements:~~

21 ~~(i) The customer's household income does not exceed 250% of the~~
22 ~~federal poverty line, as published by the United States Department~~
23 ~~of Health and Human Services under its authority to revise the~~
24 ~~poverty line under 42 USC 9902.~~

25 ~~(ii) The customer's household income does not exceed 80% of the~~
26 ~~adjusted median income as determined by the United States~~
27 ~~Department of Housing and Urban Development.~~

28 ~~(iii) The customer is enrolled in a federal, state, or local~~
29 ~~program with similar income eligibility requirements, including,~~



1 ~~but not limited to, an emergency relief or food assistance program~~
2 ~~or Medicaid.~~

3 (c) ~~(i)~~ "Megawatt", "megawatt hour", or "megawatt hour of
4 electricity", unless the context implies otherwise, includes the
5 steam equivalent of a megawatt or megawatt hour of electricity.

6 ~~(j)~~ "Modified net metering" means a utility billing method
7 that applies the power supply component of the full retail rate to
8 the net of the bidirectional flow of kilowatt hours across the
9 customer interconnection with the utility distribution system,
10 during a billing period or time-of-use pricing period. A negative
11 net metered quantity during the billing period or during each time-
12 of-use pricing period within the billing period reflects net excess
13 generation for which the customer is entitled to receive credit
14 under section 177(2). Under modified net metering, standby charges
15 for distributed generation customers on an energy rate schedule
16 shall be equal to the retail distribution charge applied to the
17 imputed customer usage during the billing period. The imputed
18 customer usage is calculated as the sum of the metered on-site
19 generation and the net of the bidirectional flow of power across
20 the customer interconnection during the billing period. The
21 commission shall establish standby charges under modified net
22 metering for distributed generation customers on demand-based rate
23 schedules that provide an equivalent contribution to utility system
24 costs. A charge for net metering and distributed generation
25 customers established pursuant to section 6a of 1939 PA 3, MCL
26 460.6a, shall not be recovered more than once.

27 ~~(k)~~ "Multiday energy storage system" means an energy storage
28 system capable of continuously discharging electricity at its full
29 rated capacity for more than 24 hours.



1 Sec. 9. As used in this act:

2 (a) "Natural gas provider" means an investor-owned business
3 engaged in the sale and distribution at retail of natural gas
4 within this state whose rates are regulated by the commission.

5 (b) "Pet coke" means a solid carbonaceous residue produced
6 from a coker after cracking and distillation from petroleum
7 refining operations.

8 (c) "Provider" means an electric provider or a natural gas
9 provider.

10 ~~(d) "PURPA" means the public utility regulatory policies act~~
11 ~~of 1978, Public Law 95-617.~~

12 Sec. 11. As used in this act:

13 (a) "Renewable energy" means electricity or steam generated
14 using a renewable energy system.

15 ~~(b) "Renewable energy contract" means a contract to acquire~~
16 ~~renewable energy and the associated renewable energy credits from 1~~
17 ~~or more renewable energy systems.~~

18 ~~(c) "Renewable energy credit" means a credit granted under a~~
19 ~~certification and tracking program established under section 41,~~
20 ~~which represents generated renewable energy.~~

21 ~~(d) "Renewable energy credit portfolio" means the sum of the~~
22 ~~renewable energy credits achieved by a provider for a particular~~
23 ~~year.~~

24 ~~(e) "Renewable energy credit standard" means a minimum~~
25 ~~renewable energy credit portfolio required under section 28 or~~
26 ~~former section 27.~~

27 ~~(f) "Renewable energy plan" or "plan" means a plan approved~~
28 ~~under section 22 or former section 21 or 23 or found to comply with~~
29 ~~this act under former section 25, with any amendments adopted under~~



1 ~~this act.~~

2 **(b)** ~~(g)~~ "Renewable energy resource" means a resource that
 3 naturally replenishes over a human, not a geological, time frame
 4 and that is ultimately derived from solar power, water power, or
 5 wind power. Renewable energy resource does not include petroleum,
 6 nuclear, natural gas, ~~industrial waste, post-use polymers, tires,~~
 7 ~~tire-derived fuel, plastic, or coal.~~ A renewable energy resource
 8 comes from the sun or from thermal inertia of the earth and
 9 minimizes the output of toxic material in the conversion of the
 10 energy and includes, but is not limited to, all of the following:

11 (i) Biomass, as described in ~~any~~ **either** of the following:

12 (A) Landfill gas as described in subparagraph (vii).

13 (B) Gas from a methane digester using only feedstock as
 14 described in subparagraph (viii).

15 ~~(C) Biomass used by renewable energy systems that are in~~
 16 ~~commercial operation on the effective date of the amendatory act~~
 17 ~~that added section 51.~~

18 ~~(D) Trees and wood used in renewable energy systems that are~~
 19 ~~placed in commercial operation after the effective date of the~~
 20 ~~amendatory act that added section 51, if the trees and wood are~~
 21 ~~derived from sustainably managed forests or procurement systems, as~~
 22 ~~defined in section 261c of the management and budget act, 1984 PA~~
 23 ~~431, MCL 18.1261c.~~

24 (ii) Solar and solar thermal energy.

25 (iii) Wind energy.

26 (iv) Kinetic energy of moving water, including all of the
 27 following:

28 (A) Waves, tides, or currents.

29 (B) Water released through a dam.



(v) Geothermal energy.

(vi) Thermal energy produced from a geothermal heat pump.

~~(vii) Landfill gas produced from solid waste facilities.~~

~~(vii) ~~(viii)~~ Any of the following if used as feedstock in a methane digester:~~ **cleaner energy resources:**

(A) ~~Municipal wastewater treatment sludge, wastewater, and sewage.~~ **solid waste, including biogenic and anthropogenic factions.**

(B) ~~Food waste and food production and processing waste.~~ **Landfill gas produced by municipal solid waste.**

(C) ~~Animal manure.~~ **Fuel that has been manufactured in whole or in significant part from waste, including, but not limited to, municipal solid waste. Fuel that meets the requirements of this sub-subparagraph includes, but is not limited to, material that is listed under 40 CFR 241.3(b) or 241.4(a) or for which a nonwasted determination is made by the United States Environmental Protection Agency in accordance with 40 CFR 241.3(c). Pet coke, hazardous waste, coal waste, or scrap tires are not fuel that meet the requirements of this sub-subparagraph.**

~~(D) Organics separated from municipal solid waste.~~

~~(h) "Renewable energy standard" means the minimum renewable energy capacity portfolio, if applicable, and the renewable energy credit portfolio required to be achieved under section 28 or former section 27.~~

(c) ~~(i)~~ "Renewable energy system" means a facility, electricity generation system, or set of electricity generation systems that use 1 or more renewable energy resources to generate electricity or steam. Renewable energy system includes the following:

(i) A landfill gas recovery and electricity generation facility



1 located in a landfill whose operator employs best practices for
2 methane gas collection and control and emissions monitoring, as
3 determined by the department of environment, Great Lakes, and
4 energy.

5 (ii) A methane digester, if it processes only 1 or more of the
6 following:

7 (A) Municipal wastewater treatment sludge, wastewater, or
8 sewage.

9 (B) Food waste or food production and processing waste.

10 (C) Animal manure.

11 (D) Organics separated from municipal solid waste.

12 ~~(iii) A facility or generation system or set of systems that is~~
13 ~~placed in commercial operation after the effective date of the~~
14 ~~amendatory act that added section 51, but only if the facility or~~
15 ~~generation system or set of systems uses as feedstock trees and~~
16 ~~wood derived from sustainably managed forests or procurement~~
17 ~~systems, as defined in section 261c of the management and budget~~
18 ~~act, 1984 PA 431, MCL 18.1261c.~~

19 (d) ~~(j)~~ Renewable energy system does not include any of the
20 following:

21 (i) A hydroelectric pumped storage facility.

22 (ii) A hydroelectric facility that uses a dam constructed after
23 October 6, 2008 unless the dam is a repair or replacement of a dam
24 in existence on October 6, 2008 or an upgrade of a dam in existence
25 on October 6, 2008 that increases its energy efficiency.

26 (iii) An incinerator. This subparagraph does not apply before
27 2040 to an incinerator that was generating power before January 1,
28 2023, unless the incinerator is expanded.

29 (iv) A gasification facility.



~~(v) A facility that cofires biomass with tires or tire derived fuel.~~

(e) ~~(k)~~ "Resource adequacy" describes having sufficient resources to provide customers with a continuous supply of electricity at the proper voltage and frequency, virtually always and across a range of reasonably foreseeable conditions.

~~(l) "Revenue recovery mechanism" means the mechanism for recovery of incremental costs of compliance provided for under section 22.~~

Sec. 13. As used in this act:

(a) "Site" means, except as used in part 8, a contiguous site, regardless of the number of meters at that site. A site that would be contiguous but for the presence of a street, road, or highway is considered to be contiguous for the purposes of this subdivision.

(b) "Transmission line" means all structures, equipment, and real property necessary to transfer electricity at system bulk supply voltage of 100 kilovolts or more.

~~(c) "Utility system resource cost test" means a standard that is met for an investment in energy waste reduction if, on a life cycle basis, using a real societal discount rate based on actual long-term United States treasury bond yields, the total avoided supply-side costs to the provider, including representative values for electricity or natural gas supply, transmission, distribution, and other associated costs, are greater than the total costs to the provider of administering and delivering the energy waste reduction program, including net costs for any provider incentives paid by customers and capitalized costs recovered under section 89.~~

(c) ~~(d)~~ "Wind energy conversion system" means a system that uses 1 or more wind turbines to generate electricity and has a



1 nameplate capacity of 100 kilowatts or more.

2 (d) ~~(e)~~ "Wind energy resource zone" or "wind zone" means an
3 area designated by the commission under section 147.

4 Sec. 61. An electric provider shall offer to its customers the
5 opportunity to participate in a voluntary green pricing program
6 under which the customer may specify, from the options made
7 available by the electric provider, the amount of electricity
8 attributable to the customer that will be renewable energy. If the
9 electric provider's rates are regulated by the commission, the
10 program, including the rates paid for renewable energy, must be
11 approved by the commission. The customer is responsible for any
12 additional costs incurred and shall accrue any additional savings
13 realized by the electric provider as a result of the customer's
14 participation in the program. ~~If an electric provider has not yet~~
15 ~~fully recovered the incremental costs of compliance, both of the~~
16 ~~following apply:~~

17 ~~(a) A customer that receives at least 50% of the customer's~~
18 ~~average monthly electricity consumption through the program is~~
19 ~~exempt from paying surcharges for incremental costs of compliance.~~

20 ~~(b) Before entering into an agreement to participate in a~~
21 ~~commission-approved voluntary green pricing program with a customer~~
22 ~~that will not receive at least 50% of the customer's average~~
23 ~~monthly electricity consumption through the program, the electric~~
24 ~~provider shall notify the customer that the customer will be~~
25 ~~responsible for the full applicable charges for the incremental~~
26 ~~costs of compliance and for participation in the voluntary~~
27 ~~renewable energy program as provided under this section.~~

28 Sec. 101. (1) **By Not later than** December 31, 2029, each
29 electric provider whose rates are regulated by the commission shall



1 petition the commission for any necessary approvals, and each
2 alternative electric supplier shall submit a plan to the
3 commission, to construct or acquire eligible energy storage systems
4 or enter into eligible energy storage contracts to meet its share
5 of a statewide energy storage target of a combined capacity of at
6 least 2,500 megawatts. An electric provider's share of the
7 statewide energy storage target ~~shall~~**must** be apportioned based on
8 the electric provider's annual average contribution to in-state
9 retail electric peak load for the 5-year period immediately
10 preceding the filing of the electric provider's plan under this
11 subsection.

12 (2) An electric provider whose rates are regulated by the
13 commission shall demonstrate compliance with its plan under
14 subsection (1) as part of the electric provider's integrated
15 resource plan filed under section 6t of 1939 PA 3, MCL 460.6t. An
16 alternative electric supplier shall demonstrate compliance with its
17 plan under subsection (1) in the demonstration required under
18 section 6w(8)(b) of 1939 PA 3, MCL 460.6w.

19 (3) An alternative electric supplier may contract with an
20 electric provider whose rates are regulated by the commission to
21 construct the eligible energy storage systems necessary to fulfil
22 the alternative electric supplier's portion of the statewide energy
23 storage target that is attributable to the alternative electric
24 supplier's load within the service territory of the electric
25 provider whose rates are regulated by the commission. An eligible
26 energy storage contract under this subsection ~~shall~~**must** be filed
27 with the commission. The contract prices may not exceed the cost
28 plus the applicable rate of return for the electric provider whose
29 rates are regulated by the commission.

(4) An electric provider whose rates are regulated by the commission shall submit to the commission for review and approval eligible energy storage contracts entered into to meet its share of the statewide storage target under subsection (1). If the commission approves an eligible energy storage contract, the commission shall authorize the electric provider to recover the costs of the contract in the electric provider's base rates. An electric provider whose rates are regulated by the commission shall conduct a competitive bidding process before entering an eligible energy storage contract to meet its share of the statewide target under subsection (1).

~~(5) An electric provider whose rates are regulated by the commission qualifies for a financial incentive under section 28(8) for an eligible energy storage contract.~~

(5) ~~(6)~~ This act does not limit the amount of energy storage capacity an electric provider may procure.

(6) ~~(7) Within 1 year after the effective date of the amendatory act that added this section,~~ **Not later than February 27, 2025,** the commission shall complete a study on long-term energy storage systems and multiday energy storage systems.

(7) ~~(8)~~ For purposes of this subsection, an energy storage system must have been placed in service on or after ~~the effective date of the amendatory act that added this section.~~ **February 27, 2024.**

(8) ~~(9)~~ As used in this section:

(a) "Eligible energy storage contract" means a contract to construct, acquire, or use the services of an eligible energy storage system.

(b) "Eligible energy storage system" means an energy storage



1 system that is located within the local resource zone or the
2 locational deliverability area, as defined by the appropriate
3 independent system operator or regional transmission organization,
4 in which the electric provider is subject to capacity demonstration
5 obligations pursuant to section 6w(8)(b) of 1939 PA 3, MCL 460.6w.

6 Sec. 173. (1) The commission shall establish a distributed
7 generation program by order issued by July 19, 2017. The commission
8 may promulgate rules the commission considers necessary to
9 implement this program. Any rules adopted regarding time limits for
10 approval of parallel operation must recognize grid reliability and
11 safety complications including those arising from equipment
12 saturation, use of multiple technologies, and proximity to
13 synchronous motor loads. The program must apply to all electric
14 utilities whose rates are regulated by the commission and
15 alternative electric suppliers in this state.

16 (2) Except as otherwise provided under this part, an electric
17 customer of any class is eligible to interconnect an eligible
18 electric generator with the customer's local electric utility and
19 operate the eligible electric generator in parallel with the
20 distribution system. The program must limit each customer to
21 generation capacity designed to meet up to ~~110%~~ **100%** of the
22 customer's electricity consumption for the previous 12 months. The
23 commission may waive the application, interconnection, and
24 installation requirements of this part for customers participating
25 in the net metering program under the commission's March 29, 2005
26 order in case no. U-14346.

27 (3) An electric utility or alternative electric supplier is
28 not required to allow for a distributed generation program that is
29 greater than ~~10%~~ **1%** of its average in-state peak load for the



1 preceding 5 calendar years. The electric utility or alternative
2 electric supplier shall notify the commission if its distributed
3 generation program reaches the ~~10%~~**1%** limit under this subsection.
4 The ~~10%~~**1%** limit under this subsection shall be allocated as
5 follows:

6 (a) Not less than 50% for customers with an eligible electric
7 generator capable of generating 20 kilowatts or less.

8 (b) Not more than 50% for customers with an eligible electric
9 generator capable of generating more than 20 kilowatts but not more
10 than 550 kilowatts.

11 (4) Selection of customers for participation in the
12 distributed generation program must be based on the order in which
13 the applications for participation in the program are received by
14 the electric utility or alternative electric supplier.

15 (5) An electric utility or alternative electric supplier shall
16 not discontinue or refuse to provide electric service to a customer
17 solely because the customer participates in the distributed
18 generation program. An electric utility or alternative electric
19 supplier shall not limit the rate schedule under which a customer
20 is served solely because the customer participates in the
21 distributed generation program.

22 (6) The distributed generation program created under
23 subsection (1) must include all of the following:

24 (a) Statewide uniform interconnection requirements for all
25 eligible electric generators. The interconnection requirements must
26 be designed to protect electric utility workers and equipment and
27 the general public.

28 (b) Distributed generation equipment and its installation
29 shall meet all current local and state electric and construction



1 code requirements. Any equipment that is certified by a nationally
2 recognized testing laboratory to IEEE 1547.1-2020 testing standards
3 and in compliance with UL 1741 scope 1.1A and installed in
4 compliance with this part is considered to be compliant. The
5 commission may adopt successor requirements by promulgating rules
6 under the administrative procedures act of 1969, 1969 PA 306, MCL
7 24.201 to 24.328, if the commission determines the successor
8 requirements are reasonable and consistent with the purposes of
9 this subdivision. Within the time provided by the commission in
10 rules promulgated under subsection (1) and consistent with good
11 utility practice, and the protection of electric utility workers,
12 electric utility equipment, and the general public, an electric
13 utility may study, confirm, and ensure that an eligible electric
14 generator installation at the customer's site meets the IEEE
15 1547.1-2020 requirements or any applicable successor requirements
16 adopted by the commission. If necessary to promote grid reliability
17 or safety, the commission may promulgate rules that require the use
18 of inverters that perform specific automated grid-balancing
19 functions to integrate distributed generation onto the electric
20 grid. Inverters that interconnect distributed generation resources
21 may be owned and operated by electric utilities. Both of the
22 following must be completed before the equipment is operated in
23 parallel with the distribution system of the utility:

24 (i) Utility testing and approval of the interconnection,
25 including all metering.

26 (ii) Execution of a parallel operating agreement.

27 (c) A uniform application form and process to be used by all
28 electric utilities and alternative electric suppliers in this
29 state. Customers who are served by an alternative electric supplier



1 shall submit a copy of the application to the electric utility for
2 the customer's service area.

3 (d) Distributed generation customers shall pay the retail
4 rates for electricity inflow under the rate schedule under which
5 the customer is served.

6 (7) Distributed generation customers shall receive a monthly
7 bill credit for outflow as determined by the commission. Credits
8 for outflow must reflect cost of service.

9 (8) Each electric utility and alternative electric supplier
10 shall maintain records of all applications and up-to-date records
11 of all active eligible electric generators located within their
12 service area.

13 Sec. 191. ~~(1) Subject to subsection (2), to~~ **To** implement this
14 act, the commission shall issue orders or promulgate rules ~~pursuant~~
15 ~~to~~ **in accordance with** the administrative procedures act of 1969,
16 1969 PA 306, MCL 24.201 to 24.328.

17 ~~(2) By January 1, 2026, the commission shall issue an order~~
18 ~~providing formats and guidelines for an electric provider to submit~~
19 ~~a clean energy plan pursuant to section 51.~~

20 Enacting section 1. The following acts and parts of acts are
21 repealed:

22 (a) Subpart A of part 2 of the clean and renewable energy and
23 energy waste reduction act, 2008 PA 295, MCL 460.1022 to 460.1054.

24 (b) Sections 71 to 99 of the clean and renewable energy and
25 energy waste reduction act, 2008 PA 295, MCL 460.1071 to 460.1099.

26 (c) Part 3 of the clean and renewable energy and energy waste
27 reduction act, 2008 PA 295, MCL 460.1131 to 460.1133.

28 (d) Section 179 of the clean and renewable energy and energy
29 waste reduction act, 2008 PA 295, MCL 460.1179.



1 (e) Section 17 of the property assessed clean energy act, 2010
2 PA 270, MCL 460.947.

3 Enacting section 2. This amendatory act does not take effect
4 unless House Bill No. 5710 of the 103rd Legislature is enacted into
5 law.